said to me that he had discovered that the sterling balances were nothing more than a debt owed by the Bank of England to the Reserve Bank of India. “How can a gentleman repudiate a debt?” he had said.’[18]

In view of the political changes in India, the scope of the talks was restricted to arrangements to be made for a period of six months in order to help India tide over her balance of payments deficit. These talks were important as the basic principles and mechanism relating to the execution of all subsequent agreements was evolved at this time. The concept of two accounts, one from which India could draw freely from, and the other a blocked one was agreed upon. The RBI’s balances with the Bank of England were accordingly designated No. 1 and No. 2. On the date of the agreement, the No. 1 Account was to be credited with £65 million less all amounts spent between July 15 and the date of the agreement. The account was actually opened with £39 million as the value of the Bank’s sterling assets was £1,134, £26 million less than the notional figure of £1,160 million on which the initial calculation had been based. Account No. 2 was opened with £1,095 million which were the remainder of the sterling assets. These were to be utilized for specific purposes only where the transactions were of a capital nature or involved a one-time payment. The Government of India consulted Deshmukh before signifying their assent to the terms negotiated by the Indian delegation. However, India had to accept the manifestly unfair figure of 1 percent per annum on the blocked balances. Nehru narrates that the chief obstructionist in all these negotiations was Peter Beale, then Secretary of the Bank of England. It was Cayley who suggested that they send for Beale and ‘take his trousers off.’ Beale was invited to lunch and abused in terms as unmeasured as Eady had used for them in Delhi. The dressing down had the desired effect; the obstruction caused by Beale ended.[19]

The first interim agreement ended the fears that part of the balances would be written off. However, India had to accept a limitation on her right to use them since the strain on the run-down British economy would have been too much to bear if India had been allowed to spend them without limit. But a surprise was in store for India. Barely a week later, the British government repudiated the convertibility clause of the Anglo-American loan agreement. The denial of convertibility changed the character of the agreement entered into since the pounds released were no longer usable for